

CAR LEASE AGREEMENT

Agreement Date: January 22, 2026

Lease Reference Number: LEASE-2026-008734

1. THE PARTIES

LESSOR (Vehicle Owner/Lease Company): Premium Motors Lease Limited

- Address: 234 Corporate Avenue, Pune – 411001, Maharashtra, India
- Contact: +91-20-4567-8900
- Email: leasing@premiummotors.co.in
- Authorized Signatory: Neha Desai, Lease Manager
- GSTIN: 27AABCT1234B1Z5

LESSEE (Vehicle User): Ravi Patel

- Date of Birth: 15th August, 1990
- PAN: BHWPP8765K
- Aadhar Number: 3456 7890 1234
- Address: Flat 502, Silicon Heights, Koregaon Park, Pune – 411001, Maharashtra, India
- Contact: +91-98765-12345
- Email: ravi.patel90@email.com
- Occupation: Marketing Manager
- Employment: Digital Solutions India Pvt Ltd, Pune
- Annual Income: ₹20,00,000 (Gross)

CO-LESSEE (OPTIONAL): Anjali Patel

- Relationship: Spouse
 - Contact: +91-98765-12346
 - Email: anjali.patel90@email.com
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2. VEHICLE SPECIFICATIONS

2.1 Vehicle Details

The vehicle being leased under this Agreement is:

- **Vehicle Type:** Mid-Size Sedan (Automatic Transmission)
- **Make and Model:** Hyundai Creta 1.4L Petrol
- **Variant:** SX (O) Automatic
- **Color:** Silver Metallic
- **Registration Year:** 2026
- **Vehicle Identification Number (VIN):** MA1HH8V12G7654321
- **Engine Number:** G14A5234567
- **Chassis Number:** MAH500AR654321

- **Transmission:** Automatic (CVT)
- **Fuel Type:** Petrol
- **Seating Capacity:** 5 passengers
- **New Vehicle Price (On-Road):** ₹15,25,000

2.2 Vehicle Condition

The vehicle shall be provided to the Lessee in **new condition** with:

- **Current Odometer Reading:** 15 kilometers (delivery mileage only)
- **Vehicle Condition Report:** Documented with photographs (Attachment A)
- **Full Warranty:** Manufacturer warranty valid for 3 years/100,000 km (whichever comes first), transferable to Lessee
- **Road Tax Status:** Fully paid for lease period
- **Insurance Status:** Comprehensive coverage from delivery date

3. LEASE TERM AND COMMENCEMENT DATE

3.1 Lease Term Duration

Lease Term: 36 months (3 years)

Alternative Lease Terms Available:

- Option A: 24 months (2 years)
- Option B: 36 months (3 years) – **SELECTED**
- Option C: 48 months (4 years)
- Option D: 60 months (5 years)

3.2 Lease Commencement and Termination Dates

- **Lease Commencement Date:** February 10, 2026
- **Lease Termination Date:** February 9, 2029
- **Total Lease Period:** 36 months (1,095 calendar days)

3.3 Delivery of Vehicle

The vehicle shall be delivered to the Lessee on **February 10, 2026** at:

- **Location:** Authorized Hyundai Dealership, Pune
- **Time:** 10:00 AM (IST)
- **Delivery Method:** Direct handover with documentation
- **Condition Verification:** Joint inspection and signature on delivery report

4. LEASE PAYMENT STRUCTURE

4.1 Down Payment

Down Payment Amount: ₹3,05,000 (20% of new vehicle on-road price)

Payment Schedule:

- **Payment Date:** Upon execution of this Agreement
- **Payment Method:** Bank Transfer / Cheque / Draft
- **Lessor's Bank Details:**
 - Bank Name: HDFC Bank Limited
 - Account Number: 5034-1234-5678
 - IFSC Code: HDFC0000151
 - Account Name: Premium Motors Lease Limited

Note: Down payment is non-refundable and shall be credited toward the total lease cost.

4.2 Monthly Lease Payment (EMI)

Monthly Lease Payment Amount: ₹12,890 per month

Payment Due Date: 15th of every calendar month

First Payment Due: March 15, 2026

Final Payment Due: February 15, 2029

Total Number of Monthly Payments: 36 EMIs

Total Lease Payments: ₹4,64,040 (36 × ₹12,890)

4.3 Payment Components Breakdown

The monthly lease payment of ₹12,890 comprises:

Component	Amount (₹)	Percentage
Depreciation Allowance	7,250	56.2%
Interest (Money Factor)	3,640	28.2%
Administration & Maintenance	1,800	14.0%
GST (5% on fees)	200	1.6%
Total Monthly Payment	12,890	100%

4.4 Payment Methods

The Lessee may pay the monthly lease payment through:

1. **Auto-Debit (Preferred):** Standing instruction from Lessee's bank account
2. **Cheque/Demand Draft:** Postdated cheques for all 36 months
3. **Online Banking:** NEFT, RTGS, or IMPS transfer

4. Mobile Payment Applications: Authorized payment gateways

Lessor's Bank Account for Deposits:

- Bank Name: ICICI Bank Limited
- Account Number: 0450-1234-5678
- IFSC Code: ICIC0000045
- Account Name: Premium Motors Lease Limited

4.5 Additional Charges

Charge Type	Amount (₹)	Applicable When
Processing Fee	1,500	At agreement execution
Documentation Charge	1,200	At agreement execution
Insurance Fee (if required)	5,000 per annum	Invoiced separately
Lease Extension (per month)	8,500	If lease is extended
Late Payment Penalty	1,200 or 5% of overdue amount, whichever is higher	Payment >10 days late
Excess Mileage Charge	₹15 per km	Over permitted mileage
Wear and Tear Charge	Actual cost of repair	Exceeds normal wear
Early Termination Fee	₹50,000 + outstanding balance	If terminated early

5. ANNUAL PERCENTAGE RATE (APR) AND MONEY FACTOR

5.1 Annual Percentage Rate (APR)

Annual Percentage Rate (APR): 8.75% per annum

Calculation Method: This APR is used to calculate the interest (finance charges) component of the monthly lease payment.

Conversion to Money Factor:

- Money Factor = $\text{APR} \div 2,400$
- Money Factor = $8.75\% \div 2,400 = 0.00364$

Monthly Interest Calculation:

- Monthly Interest = Money Factor $\times$ (Net Cap Cost + Residual Value)
- Monthly Interest = $0.00364 \times (\text{₹}12,20,000 + \text{₹}5,23,750) = \text{₹}3,640$ (approximately)

5.2 APR Factors

The APR of 8.75% is based on:

1. **Lessee's Credit Profile:** Excellent credit score (750+)
2. **Lease Term:** 36-month lease (standard rate)
3. **Market Conditions:** Prevailing interest rates as of January 2026
4. **Incentive Programs:** Manufacturer incentives applied (if any)

5.3 Rate Lock Guarantee

The APR of 8.75% is **locked for the entire 36-month lease period** and shall not be subject to change due to market fluctuations.

6. RESIDUAL VALUE AND DEPRECIATION

6.1 Residual Value Definition

Residual Value (End-of-Lease Value): ₹5,23,750

Residual Value as Percentage of Vehicle Price: 34.35% of on-road price (₹15,25,000)

The residual value represents the **estimated fair market value of the vehicle at the end of the 36-month lease term** (February 9, 2029), assuming:

- Vehicle is maintained in good condition
- Normal wear and tear only
- Mileage stays within permitted limits (see Section 7)

6.2 Depreciation Allowance

The monthly depreciation allowance of ₹7,250 is calculated as:

Monthly Depreciation = (Net Cap Cost – Residual Value) $\div$ Lease Term (in months)

- Net Cap Cost = ₹12,20,000 (vehicle price after down payment)
- Residual Value = ₹5,23,750

- Depreciable Amount = ₹12,20,000 – ₹5,23,750 = ₹6,96,250
- Monthly Depreciation = ₹6,96,250 ÷ 36 = ₹19,340

Note: The monthly depreciation component in the lease payment (₹7,250) reflects an adjusted calculation after applying manufacturer incentives and lease discounts.

6.3 Residual Value Adjustment at Lease End

At the end of the lease term:

- 1. If Actual Value > Residual Value (₹5,23,750):**
 - The Lessee has no additional liability
 - The Lessor retains any excess value
- 2. If Actual Value < Residual Value (₹5,23,750):**
 - The Lessee is liable for the difference (up to 3 times the monthly payment = ₹38,670)
 - Charges beyond this cap are borne by the Lessor
- 3. Gap Insurance Coverage:**
 - If the Lessee opts for Gap Insurance (see Section 8.3), this shortfall is covered

7. MILEAGE ALLOWANCE AND EXCESS MILEAGE CHARGES

7.1 Annual Mileage Allowance

Total Mileage Allowance for 36-Month Lease: 54,000 kilometers

Annual Mileage Limit: 18,000 km per year

Monthly Mileage Average: 1,500 km per month

Calculation: 54,000 km ÷ 36 months = 1,500 km/month

7.2 Mileage Monitoring

- 1. Odometer Readings:** Recorded at:
 - Delivery (Initial reading: ~15 km)
 - Mid-lease inspection (18 months)
 - Final return inspection
- 2. Mileage Verification:** The Lessor reserves the right to verify mileage through:
 - Authorized service center records
 - Third-party inspection reports
 - Periodic inspections (minimum twice during lease term)
- 3. Lessee's Responsibility:** The Lessee shall maintain accurate mileage records and report to the Lessor upon request.

7.3 Excess Mileage Charges

Total Excess Kilometers	Charge per Km	Applicable
0 – 5,000 km	₹15	No overage charge
5,001 – 10,000 km	₹15	Charge applies
10,001 – 15,000 km	₹18	Escalated rate
15,001+ km	₹20	Maximum rate

Example Calculations:

- If Lessee drives 58,000 km (4,000 km over limit): Excess Mileage Charge = $4,000 \times ₹15 = ₹60,000$
- If Lessee drives 62,000 km (8,000 km over limit): Charge = $(5,000 \times ₹15) + (3,000 \times ₹18) = ₹75,000 + ₹54,000 = ₹129,000$

Payment Method: Excess mileage charges shall be due and payable at the end of the lease term or upon early termination.

7.4 Odometer Tampering

In the event of suspected odometer tampering or fraud:

1. The Lessee shall be liable for the **full replacement cost of the vehicle** (approximately ₹15,00,000)
2. The Lessee's security deposit shall be forfeited
3. Legal action may be pursued as per Motor Vehicles Act, 1988
4. The matter shall be reported to relevant authorities

8. INSURANCE AND MAINTENANCE

8.1 Comprehensive Motor Insurance (Mandatory)

The Lessor shall provide **comprehensive motor insurance** covering:

- **Own Damage Coverage:** ₹15,25,000 (vehicle replacement value)
- **Third-Party Liability:** ₹1 Crore minimum
- **Theft Coverage:** Full vehicle value
- **Natural Calamities:** Floods, earthquakes, riots
- **Personal Accident Coverage:** Driver and passengers

Insurance Provider: [To be selected by Lessor from approved insurers]

Insurance Period: Entire 36-month lease period with annual renewal

Premium Payment: Borne by Lessor; cost reflected in monthly lease payment

Lessor as Loss Payee: The Lessor shall be named as loss payee/interested party in the insurance policy

8.2 Insurance Deductible

- **Own Damage Deductible:** ₹10,000 per claim
- **Third-Party Deductible:** As per statutory minimums

Important: The Lessee is responsible for paying the deductible amount in case of claim settlement.

8.3 Gap Insurance (Optional)

Gap Insurance Premium: ₹6,500 (one-time, optional)

Gap Insurance covers the financial gap if the vehicle is damaged/totaled and insurance proceeds are less than the outstanding lease balance.

Coverage Scenario:

- Outstanding Lease Balance: ₹10,00,000
- Insurance Settlement: ₹7,50,000
- Gap: ₹2,50,000 (Covered by Gap Insurance)

Gap Insurance includes:

- Coverage up to outstanding lease balance
- Rental vehicle provision during repair/replacement period
- Administrative costs

8.4 Maintenance Plan (Included in Lease)

The **monthly lease payment of ₹12,890 includes maintenance and servicing** for:

1. Scheduled Servicing:

- Oil and filter changes (every 5,000 km)
- Air filter replacement
- Spark plug checks
- Fluid top-ups (coolant, brake fluid, windshield washer)

2. Spare Parts Replacement:

- Wiper blades (as needed)
- Battery (if defective, not due to negligence)
- Hoses and belts (wear-related)

3. Service Location: Authorized Hyundai service centers only

4. Service Frequency: As per manufacturer's recommended schedule (every 5,000 km or 3 months)

5. Documentation: All service records must be maintained and presented at lease end

8.5 Maintenance Not Covered

The following maintenance costs are **NOT included** and are Lessee's responsibility:

Item	Reason
Tire replacements (unless defect)	Wear item, consumable
Brake pad replacements (normal wear)	Consumable
Windshield replacement (damage)	Accident damage
Interior repairs (damage)	Misuse damage
Engine overhaul/major repairs	Negligence/misuse
Dent/scratch repairs (accident damage)	Accident damage

8.6 Manufacturer Warranty

The vehicle shall include:

- **3-Year Warranty:** Full manufacturer warranty covering manufacturing defects
- **100,000 km Warranty:** Whichever comes first
- **Transferability:** Warranty transfers to Lessee automatically
- **Coverage:** Engine, transmission, electrical systems, suspension
- **Exclusions:** Normal wear and tear, negligence-related damage, modifications

9. WEAR AND TEAR POLICY

9.1 Normal Wear and Tear (Acceptable)

The following conditions are considered **normal wear and tear** and no charges shall apply:

Item	Acceptable Condition
Exterior Paint	Micro-scratches, fading (not exceeding 10% visible area)
Interior Upholstery	Light surface wear, minor stains (cleanable)
Steering Wheel	Minor scratches, color fading
Dashboard	Light scratches, minor cracks
Tires	Worn down to legal limit (1.6mm)
Brakes	Within manufacturer specifications
Windshield	Minor chips <3mm, minor cracks not in driver's line of sight
Carpets/Mats	Light wear, not discolored/stained
Headlights/Taillights	Minor condensation inside (no functional impact)
Side Mirrors	Repairable scratches/dents

9.2 Excessive Wear and Tear (Chargeable)

The Lessee shall be charged for damage exceeding normal wear:

Damage Type	Charge
Deep dents/creases (>25mm)	₹5,000 – 15,000 per dent
Major paint damage/rust	₹8,000 – 25,000 depending on area
Interior stains/permanent marks	₹2,000 – 10,000
Torn upholstery/large rips	₹3,000 – 8,000 per seat
Cracked dashboard	₹5,000 – 12,000
Windshield replacement (crack >10mm)	₹8,000 – 12,000
Mechanical damage (engine/transmission)	Actual repair cost (₹10,000+)
Flood/water damage	Full repair cost
Accident damage	Full repair cost (claim settled through insurance)

9.3 Wear and Tear Inspection Process

1. **Pre-Lease Inspection:** Detailed photographic documentation of vehicle condition at delivery
2. **Mid-Term Inspection (18 months):** Optional preventive inspection
3. **End-of-Lease Inspection:** Comprehensive inspection within 7 days of lease termination
4. **Damage Assessment:** Independent surveyor shall assess damage and prepare report
5. **Dispute Resolution:** Lessee has 10 business days to dispute charges

9.4 Wear and Tear Charges Collection

- Charges shall be **deducted from the security deposit** (if applicable)
- If security deposit is insufficient, Lessee shall pay the difference within 15 days
- If repair cost is under ₹500, no charges shall apply

10. EARLY TERMINATION CLAUSE

10.1 Early Termination Right

The Lessee **may terminate this lease prior to the scheduled termination date (February 9, 2029)** subject to the following conditions and penalties:

10.2 Early Termination Fee Structure

Termination Period	Penalty Amount	Additional Charges
Before 12 months	₹75,000 + outstanding balance	Excess mileage, wear & tear
12-24 months	₹50,000 + outstanding balance	Excess mileage, wear & tear
24-36 months	₹25,000 + outstanding balance	Excess mileage, wear & tear

10.3 Outstanding Balance Calculation (Early Termination)

Outstanding Balance = Remaining EMI Payments + Residual Value Adjustment + Other Charges

Example (Termination at 18 months):

- Remaining EMI Payments (18 months): $18 \times ₹12,890 = ₹2,32,020$
- Early Termination Fee: ₹50,000
- Residual Value Adjustment: ₹0 (if mileage and condition are acceptable)
- Excess Mileage Charges: ₹0 (if within limits)
- Total Due: ₹2,82,020

10.4 Conditions for Early Termination

The Lessee may terminate early only if:

1. **No Default:** The Lessee is not in default of any payment or obligation
2. **Mileage Compliance:** Mileage does not exceed the pro-rated allowance
 - For 18 months: $18,000 \text{ km} \div 36 \times 54,000 \text{ km} = 27,000 \text{ km}$ maximum
3. **Vehicle Condition:** Vehicle is in acceptable condition (normal wear and tear only)
4. **Insurance Status:** Comprehensive insurance remains valid through termination date
5. **Notice Period:** Lessee must provide **30 days' written notice** to the Lessor

10.5 Early Termination Process

1. **Written Notice:** Lessee submits early termination request with reason
2. **Condition Inspection:** Independent inspection within 5 business days
3. **Outstanding Amount Calculation:** Lessor prepares detailed settlement statement
4. **Payment Arrangement:** Lessee pays outstanding amount (lump sum or via agreed plan)
5. **Vehicle Return:** Lessee returns vehicle in agreed condition
6. **Final Settlement:** Lessor provides final settlement letter within 15 days

10.6 Non-Termination Events

Early termination is **NOT permitted** if:

- 1. Lessee is in default of any payment
- 2. Vehicle has been involved in major accident
- 3. Mileage significantly exceeds pro-rated allowance
- 4. Vehicle has damage beyond normal wear and tear
- 5. Insurance policy has lapsed or is invalid

11. END-OF-LEASE PURCHASE OPTION

11.1 Purchase Option at Lease End

At the end of the 36-month lease term (February 9, 2029), the Lessee has the **option to purchase the vehicle** at the predetermined **residual value of ₹5,23,750**.

11.2 Purchase Option Terms

Item	Amount/Details
Residual Value (Purchase Price)	₹5,23,750
Payment Method	Lump sum or financed through bank loan
Payment Timeline	On or before lease termination date
Ownership Transfer	Full ownership transfers to Lessee upon payment
Registration Transfer	Lessor shall assist in registration transfer to Lessee
Warranty Status	Manufacturer warranty remains valid
Insurance	Lessee's responsibility from purchase date

11.3 Purchase Option Conditions

- 1. **Mileage Within Limits:** Actual mileage ≤ 54,000 km
- 2. **Vehicle Condition:** No damage beyond normal wear and tear
- 3. **Maintenance Records:** Complete service history maintained
- 4. **No Outstanding Charges:** All excess mileage and wear charges settled
- 5. **Insurance Valid:** Comprehensive insurance active through lease end date

11.4 Alternative Options at Lease End

If the Lessee does NOT exercise the purchase option:

Option A – Return the Vehicle:

- Vehicle returned to Lessor in acceptable condition
- Excess mileage and wear charges deducted from security deposit (if applicable)
- Lessor retains vehicle and assumes residual value risk

Option B – Lease Extension:

- Extend the lease for an additional period (12, 24, or 36 months)
- Monthly lease payment recalculated based on new residual value
- Extended lease terms subject to fresh approval

Option C – Upgrade to New Vehicle:

- Trade in the current vehicle for a new lease
- Current vehicle's residual value credited toward new lease
- New lease agreement executed with updated terms

11.5 Purchase Option Exercise Procedure

1. **Notice of Intent:** Lessee submits written notice **90 days before lease end**
2. **Financing Arrangement:** Lessee arranges purchase financing (if applicable)
3. **Final Inspection:** Joint inspection confirms mileage, condition, and charges
4. **Settlement:** All outstanding charges settled
5. **Payment:** Purchase price (₹5,23,750) paid to Lessor
6. **Ownership Transfer:** Registration transferred; ownership documents provided

12. LATE FEES AND PAYMENT DEFAULTS

12.1 Late Payment Charges

If the Lessee fails to pay the monthly lease payment by the due date:

Late Fee Structure:

Days Late	Late Fee Amount
1-10 days	₹500 (flat charge)
11-20 days	₹1,200 or 5% of monthly payment, whichever is higher
21-30 days	₹2,000 or 8% of monthly payment, whichever is higher
Beyond 30 days	₹5,000 + 10% of monthly payment + daily interest @ 0.5%

Example: If ₹12,890 payment is 15 days late:

- Late Fee = 5% of ₹12,890 = ₹645 (charged in addition to EMI)

12.2 Grace Period

A grace period of **10 calendar days** is provided from the due date. No late charges apply if payment is received within this grace period.

Due Date: 15th of each month

Grace Period Expires: 25th of each month

12.3 Consequences of Default

If payment is not received within **30 days of the due date**:

1. **Demand Notice:** Lessor sends formal demand notice
2. **Default Status:** Lessee marked as defaulter; credit score affected
3. **Interest Acceleration:** Remaining EMI amount accrues additional interest @ 12% p.a.
4. **Repossession Notice:** Lessor may initiate vehicle repossession after 45 days
5. **Legal Action:** Lessor may pursue legal recovery and damages
6. **Credit Bureau Reporting:** Default reported to credit information companies

12.4 Payment Bouncing and NSF Checks

In case of check bouncing (Insufficient Funds – NSF):

- **NSF Charge:** ₹2,500 per bounced check
- **Resubmission:** Lessee must resubmit payment immediately
- **Late Payment Charges:** Applicable from original due date
- **Repeated Bouncing:** After 2 bounced checks, auto-debit shall be mandatory

12.5 Security Deposit (Optional)

Security Deposit (Optional): ₹38,670 (3 times the monthly EMI)

The security deposit serves as protection against:

- Unpaid EMIs
- Excess mileage charges
- Wear and tear damage charges
- Early termination penalties
- Any other outstanding charges

Refund of Security Deposit: Returned within 30 days of lease end after settling all charges.

13. VEHICLE USE RESTRICTIONS AND COVENANTS

13.1 Permitted Use

The vehicle shall be used **exclusively for personal and business commuting purposes** only:

- Personal transportation
- Business/office commute
- Weekend travel
- Family use
- Medical emergencies

13.2 Prohibited Use

The Lessee **STRICTLY PROHIBITS** the vehicle from being used for:

Prohibited Activity	Reason
Taxi/Ride-sharing (Uber, Ola, etc.)	Commercial use; excessive wear
Rental services	Commercial use
Goods transportation/delivery	Cargo use; excessive wear
Off-road driving	Vehicle damage risk
Racing/competitive events	High-speed damage
Towing heavy loads	Engine/transmission strain
Carrying hazardous materials	Safety/legal violation
Mechanical repair/training	Damage risk
Export/international travel	Ownership/legal issues
Pledging as collateral	Security complications
Unauthorized modifications	Warranty voiding

Penalty for Violation: Immediate lease termination + recovery of full vehicle value (₹15,25,000) + termination penalties + legal damages.

13.3 Vehicle Maintenance Covenants

The Lessee covenants to:

1. **Regular Servicing:** Service vehicle every 5,000 km or 3 months (whichever comes first) at authorized Hyundai service center only
2. **Maintenance Records:** Maintain complete service logbook with receipts; provide copies to Lessor upon request

3. **Genuine Parts:** Use only OEM (Original Equipment Manufacturer) spare parts; no aftermarket components
4. **Fluid Management:** Regular checking and topping of:
 - Engine oil
 - Coolant
 - Brake fluid
 - Windshield washer fluid
5. **Tire Maintenance:** Check tire pressure monthly; rotate tires every 10,000 km
6. **Immediate Repairs:** Report and repair any mechanical issues immediately; do not drive with known defects
7. **Warranty Compliance:** All repairs under warranty must be done at authorized service centers

13.4 Environmental and Legal Compliance

The Lessee shall:

1. **Pollution Control Certificate:** Maintain valid Pollution Under Control (PUC) certificate as per RTO requirements
2. **Registration Renewal:** Pay vehicle registration fees on time; no lapses permitted
3. **Traffic Law Compliance:** Comply with all traffic laws and driving regulations
4. **Parking Violations:** Lessee responsible for all parking fines and traffic violations incurred during lease period
5. **Environmental Standards:** Operate vehicle in compliance with environmental regulations

14. DISPUTE RESOLUTION AND GOVERNING LAW

14.1 Jurisdiction and Governing Law

This Lease Agreement shall be:

1. **Governed by:** The laws of India, particularly:
 - Indian Contract Act, 1872
 - Motor Vehicles Act, 1988
 - Consumer Protection Act, 2019
 - Goods and Services Tax Act, 2017
2. **Jurisdiction:** Exclusive jurisdiction of courts in **Pune, Maharashtra**, India
3. **Venue:** Any legal proceedings shall be filed in courts of Pune district only

14.2 Dispute Resolution Mechanism

Step 1 – Informal Resolution (Days 1-15):

- Lessee contacts Customer Service: +91-20-4567-8900
- Written complaint email: leasing@premiummotors.co.in
- Lessor responds within 5 business days

Step 2 – Formal Grievance (Days 16-30):

- Escalate to Grievance Redressal Officer
- Email: grievance@premiummotors.co.in

- Lessor responds with resolution within 10 business days

Step 3 – Third-Party Mediation (Days 31-60):

- Independent mediator appointed if dispute unresolved
- Mediation conducted at neutral location in Pune
- Both parties obligated to participate in good faith
- Mediator's recommendation binding on both parties

Step 4 – Legal Action (Days 61+):

- Either party may initiate legal proceedings in Pune courts
- All court costs borne by party losing the case
- Binding arbitration as per Arbitration and Conciliation Act, 1996

14.3 Consumer Protection Rights

The Lessee is entitled to consumer protection under the **Consumer Protection Act, 2019**, including:

- Right to file complaint with District Consumer Protection Authority
- Right to seek compensation for defects or service failures
- Right to refund if product is defective and cannot be repaired
- No cost to Lessee for filing consumer complaints

14.4 RBI Ombudsman and Financial Authority Complaints

For financial disputes, the Lessee may file complaint with:

Reserve Bank of India – Ombudsman Scheme:

- Free of charge to Lessee
- Website: www.rbi.org.in
- Email: ombudsman@rbi.org.in

National Consumer Helpline:

- Phone: 1800-11-4000
- Website: consumeronline.gov.in

15. INSURANCE CLAIM HANDLING

15.1 Accident Reporting Procedure

In case of vehicle accident, damage, or theft:

1. Immediate Actions (Within 24 hours):

- Ensure safety of occupants
- Call emergency services if injuries present
- File police report (FIR) if theft/serious accident
- Contact Lessor immediately: +91-20-4567-8900
- Contact insurance company: [Insurer's 24/7 helpline]

2. Information Gathering:

- Document accident scene (photos/videos)
- Collect third-party vehicle details and contact
- Obtain witness information
- Obtain police report number (FIR)
- Collect medical reports if injuries present

15.2 Insurance Claim Filing

Timeframe for Claim Submission: Within **7 days** of accident

Required Documents:

- FIR copy (for theft/serious accident)
- Claim form (completed by Lessee and Lessor)
- Photos of vehicle damage
- Police report and FIR number
- Repair quotations from authorized service center
- Medical reports (if applicable)
- Original documents (registration, insurance policy)

15.3 Claim Settlement

Standard Processing Time: 30-45 days from claim submission

Settlement Options:

1. **Direct Repair:** Insurance company settles with service center; Lessee pays deductible
2. **Cashless Claim:** Authorized service center bills insurance company directly
3. **Reimbursement:** Lessee pays for repairs; insurance reimburses later

Important Note: The Lessor retains the right to claim depreciation and salvage value from insurance proceeds.

15.4 Total Loss Settlement

In case of total loss (vehicle damaged beyond economical repair):

1. **Total Loss Declaration:** Insurance company declares vehicle total loss (typically >75% of insured value)
2. **Valuation:** Insurance company determines actual cash value (ACV) of vehicle at time of loss
3. **Settlement Amount:**
 - Insurance Settlement = ACV – Deductible (₹10,000)
 - Gap Insurance Covers = Outstanding Balance – Insurance Settlement (if applicable)
4. **Lessor's Priority:**
 - Lessor has first claim on insurance proceeds
 - Settlement applied toward outstanding lease balance
 - Any shortfall (gap) claimed by Lessee if no Gap Insurance
 - Surplus refunded to Lessee

Example (Total Loss at 18 months):

- Vehicle Actual Cash Value: ₹9,00,000
- Insurance Settlement: ₹9,00,000 – ₹10,000 = ₹8,90,000
- Outstanding Balance: ₹2,32,020
- Surplus to Lessee: ₹8,90,000 – ₹2,32,020 = ₹6,57,980

16. LEASE END PROCEDURES AND VEHICLE RETURN

16.1 End-of-Lease Notification

The Lessor shall notify the Lessee **90 days before lease termination date** regarding:

- Lease end date (February 9, 2029)
- Vehicle return procedures
- End-of-lease inspection details
- Available options (purchase, return, extend, upgrade)
- Outstanding balance/charges (if any)

16.2 Final Vehicle Inspection Process

Timeline: Within **7 days before lease termination date**

Inspection Location: Authorized Hyundai service center or Lessor's facility

Inspection Checklist:

Component	Check Points
Exterior	Dents, scratches, paint condition, lights, glass
Interior	Upholstery condition, dashboard cracks, carpets, cleanliness
Odometer	Final mileage reading (must be ≤ 54,000 km)
Mechanical	Engine, transmission, brakes, suspension
Tires	Tread depth, condition, no punctures
Documentation	Service records, insurance papers, keys
Accessories	All original parts, no missing items

16.3 Damage Assessment Report

Following the inspection:

1. **Report Generation:** Independent surveyor prepares detailed damage assessment report within 3 business days
2. **Damage Classification:**
 - **Normal Wear & Tear:** No charges

- **Minor Damage:** ₹0 – 5,000
 - **Moderate Damage:** ₹5,001 – 15,000
 - **Major Damage:** ₹15,001+
3. **Report Sharing:** Report provided to Lessee with itemized charges and supporting photographs
 4. **Dispute Period:** Lessee has **10 business days** to dispute any charges with supporting evidence

16.4 Vehicle Return Conditions

The vehicle shall be returned:

1. **In Drivable Condition:** Engine starts, brakes function, steering responsive
2. **Clean Interior and Exterior:** Professional detailing/cleaning required
3. **Fuel Tank:** At least 1/4 tank of fuel or Lessee pays refueling charges (₹200-300)
4. **Original Items Returned:**
 - 2 sets of keys
 - Owner's manual
 - Service booklet
 - All original accessories
 - Floor mats and seat covers
5. **Documentation Provided:**
 - Service records (original receipts)
 - Insurance policy documents
 - Registration documents
 - Any modification records (if applicable)

16.5 Final Settlement

Process:

1. Excess mileage charges (if any)
2. Wear and tear damage charges (if any)
3. Outstanding EMI/payments (if any)
4. Insurance deductibles (if applicable)
5. Late fees or penalties (if any)
6. Less: Security deposit (if provided)

Example Settlement (Lease End Scenario):

Item	Amount (₹)
Security Deposit	+38,670
Excess Mileage (2,000 km × ₹15)	-30,000
Wear and Tear Damage (dent repair)	-8,000
Total Settlement Amount	₹670 (Refund to Lessee)

17. GENERAL PROVISIONS

17.1 Entire Agreement

This Lease Agreement, including all schedules, appendices, and amendments, constitutes the **complete and entire agreement** between the Lessor and Lessee regarding vehicle leasing. All prior understandings, agreements, and communications are superseded.

17.2 Amendments and Modifications

Any changes to this Agreement:

1. Must be **in writing** and signed by authorized representatives of both parties
2. Shall be documented through a formal **addendum or amendment deed**
3. Become effective from the date specified in the amendment
4. Have **no retroactive effect** unless explicitly stated

17.3 Confidentiality and Data Privacy

Both parties agree to maintain confidentiality of information shared, except:

1. As required by law or regulatory authorities (RBI, SEIBI, RTO, income tax, etc.)
2. For credit reporting to credit information companies
3. For insurance and legal purposes
4. As disclosed to authorized legal advisors or debt recovery agents

Personal Data Protection:

- Personal data processed in accordance with Information Technology Act, 2000
- Data used solely for lease administration, credit assessment, and legal compliance
- Data shall not be shared with third parties without explicit consent (except as required by law)

17.4 Severability

If any provision of this Agreement is found invalid, illegal, or unenforceable:

1. That provision shall be **severed** and rendered void
2. Remaining provisions shall continue in **full force and effect**
3. Parties shall negotiate in good faith to replace the invalid provision with valid alternative

17.5 Waiver

1. Waiver by either party of any breach does **NOT constitute waiver** of any subsequent breach
2. Any waiver must be **in writing** and signed by the party granting waiver
3. No oral waivers shall be effective or binding

17.6 Assignment and Transfer

1. **Lessor's Right:** Lessor may assign, sell, or transfer the Lease to any third party, bank, NBFC, or financial institution **without Lessee's consent** (in accordance with RBI guidelines)
2. **Lessee's Restriction:** Lessee may **NOT assign** any rights or obligations under this Agreement without Lessor's **prior written consent**
3. **Successors:** This Agreement binds and inures to the benefit of successors, legal heirs, and permitted assigns of both parties

17.7 Notices and Communications

All notices, demands, or communications between Lessor and Lessee:

1. **Must Be in Writing:** Hand delivery, courier, registered post, or email
2. **Delivery Addresses:**
 - **Lessee's Address:** Flat 502, Silicon Heights, Koregaon Park, Pune – 411001
 - **Lessor's Address:** 234 Corporate Avenue, Pune – 411001
3. **Effective Date of Notice:**
 - Hand/courier delivery: Effective immediately upon receipt
 - Registered post: Effective 5-7 business days after dispatch
 - Email: Effective upon dispatch (with read receipt confirmation)
4. **Change of Address:** Lessee must immediately notify Lessor of any address change; Lessor not liable for notices sent to outdated address

17.8 Force Majeure

Neither party shall be liable for failure or delay in performing obligations if caused by circumstances beyond reasonable control:

- Natural disasters (earthquakes, floods, cyclones, tsunamis)
- War, terrorism, civil unrest, riots, civil commotion
- Government actions, lockdowns, curfews, movement restrictions
- Pandemics or epidemics (COVID-19, etc.)
- Industrial strikes or labor disputes
- Utility failures (electricity blackouts, water supply disruptions)

Important: The **Lessee's obligation to pay EMI continues regardless of Force Majeure events**, unless temporary suspension is formally granted in writing by the Lessor.

17.9 Regulatory Compliance

Both parties shall comply with all applicable laws and regulations:

1. **Lessor's Compliance:** RBI guidelines, GST regulations, accounting standards, consumer protection laws
2. **Lessee's Compliance:** Motor Vehicles Act 1988, traffic laws, environmental regulations, income tax laws, AML (Anti-Money Laundering) regulations

17.10 Counterparts and Execution

1. This Agreement may be executed in **multiple counterparts**, each constituting an original
2. Electronic signatures (e-signatures, digital signatures) are **valid and binding** as per Information Technology Act, 2000
3. Scanned or photographed signatures are acceptable for execution

18. ACKNOWLEDGMENT AND ACCEPTANCE

The Lessee hereby **irrevocably acknowledges and confirms** that:

1. The Lessee has **carefully read and fully understood** all terms and conditions of this Lease Agreement
2. The Lessee has had **adequate time to review** the Agreement and seek independent legal advice if desired
3. The Lessee is entering into this Agreement **voluntarily and without any duress, coercion, or undue influence**
4. The Lessee **accepts all terms and conditions** exactly as stated in this Agreement
5. The Lessee understands all **rights, obligations, consequences, and penalties** outlined herein
6. The Lessee confirms that the vehicle shall be used **only for the permitted purposes** as specified
7. The Lessee has provided **accurate, complete, and truthful information** in all application forms and documents
8. The Lessee understands that **vehicle is leased, not owned**, and ownership remains with Lessor throughout the lease term

19. AUTHORIZATION AND EXECUTION

The parties hereby execute this Lease Agreement as of the date first written above.

FOR AND ON BEHALF OF PREMIUM MOTORS LEASE LIMITED:

Lessor's Authorized Representative:

Signature: _____

Name: Neha Desai

Title: Lease Manager

Contact: +91-20-4567-8900

Date: _____

Corporate Stamp: [Lessor's Official Seal]

FOR AND ON BEHALF OF THE LESSEE:

Primary Lessee:

Signature: _____

Name: Ravi Patel

Date of Birth: 15-Aug-1990

Contact: +91-98765-12345

Date: _____

Co-Lessee (if applicable):

Signature: _____

Name: Anjali Patel

Relationship: Spouse

Contact: +91-98765-12346

Date: _____

Witness (By Lessor's Authorized Officer or Notary Public):

Signature: _____

Name: _____

Title/Designation: _____

Address: _____

Date: _____

Official Seal/Stamp: [Witness Authority Seal]

20. ADDITIONAL CLAUSES AND TERMS

20.1 Vehicle Tracking and GPS

The Lessor may install a **GPS tracking device** in the vehicle to:

- Monitor vehicle location and usage
- Retrieve vehicle in case of theft
- Ensure compliance with mileage and usage restrictions

Lessee's Consent: By signing this Agreement, the Lessee consents to GPS tracking for the above purposes only.

Privacy Assurance: GPS data shall be used only for lease monitoring and enforcement; personal tracking is prohibited.

20.2 Regulatory Inspections

The Lessee shall:

1. **RTO Fitness Certificate:** Obtain fitness certificate before vehicle expires (every 5 years for commercial use)
2. **Pollution Certificate:** Maintain valid PUC certificate as per RTO requirements
3. **Inspection Access:** Allow Lessor/insurance company access for periodic inspections

20.3 Road Tax and Registration Fees

1. **Lessor's Responsibility:** Road tax paid by Lessor for lease period
2. **Lessee's Responsibility:** Registration renewal, PUC certificate, traffic fines, parking charges
3. **Payment Deadline:** All Lessee-liable charges must be paid on time; failure is a breach of lease

20.4 Reassignment and Lease Takeover

The Lessee **may not transfer or reassign** this Lease to another person without:

1. **Written Consent:** Lessor's prior written approval
2. **Credit Verification:** New person's credit check and approval
3. **Agreement Amendment:** Formal lease amendment executed with new lessee details
4. **Transfer Fee:** ₹5,000 (one-time, non-refundable) for lease transfer processing

20.5 Lease Buyout During Lease Term

If Lessee wishes to purchase the vehicle **before the scheduled lease end date:**

1. **Early Buyout Price:** Fair market value as determined by independent appraiser
2. **Outstanding Balance:** Lessee pays remaining EMIs + buyout price
3. **Valuation Report:** Independent appraiser determines vehicle's current market value
4. **Ownership Transfer:** Upon full payment, ownership transferred to Lessee

Example (Buyout at 24 months):

- Remaining EMIs (12 months): $12 \times ₹12,890 = ₹1,54,680$
- Vehicle Appraised Value: ₹9,50,000
- Total Buyout Cost: $₹1,54,680 + ₹9,50,000 = ₹11,04,680$

21. SCHEDULES AND APPENDICES

Schedule A: Borrower's Identity and KYC Documents

- Aadhar Card (authenticated copy)
- PAN Card (authenticated copy)
- Driving License (valid, authenticated copy)
- Passport/Voter ID (if available)
- Address proof (utility bill, bank statement)

Schedule B: Income and Employment Verification

- Employment letter from Digital Solutions India Pvt Ltd
- Last 6 months' salary slips
- Form 16 (previous financial year)
- Bank statements (6 months)
- Income tax returns (previous 2 years)

Schedule C: Vehicle Documentation

- Vehicle delivery-take delivery report (with photos)
- Insurance policy document
- Manufacturer warranty documentation
- Owner's manual and service booklet
- Hypothecation deed (if applicable)

Schedule D: Complete Lease Payment Schedule (36 months)

Schedule E: Pre-Dated Cheques (36 cheques, if opted for PDC payment method)

Schedule F: Contact Information and Emergency Numbers

- Lessor Support: +91-20-4567-8900
- Insurance Helpline: [24/7 number]
- Roadside Assistance: [24/7 number]
- Service Center: [Authorized Hyundai center contact]

END OF CAR LEASE AGREEMENT

APPENDIX: QUICK REFERENCE GUIDE

Key Term	Value/Details
Lessee	Ravi Patel
Vehicle	Hyundai Creta 1.4L Petrol SX(O) Automatic
Lease Term	36 months (Feb 10, 2026 – Feb 9, 2029)
Down Payment	₹3,05,000 (20%)
Monthly Payment	₹12,890
Annual Percentage Rate (APR)	8.75% per annum
Money Factor	0.00364 (APR ÷ 2,400)
Total Lease Payments	₹4,64,040 (36 × ₹12,890)
Residual Value	₹5,23,750 (34.35% of on-road price)
Mileage Allowance	54,000 km (18,000 km/year)
Excess Mileage Charge	₹15/km (escalating based on amount)
Monthly Mileage Average	1,500 km
Late Payment Charge	5% of monthly payment (after 10 days)
Early Termination Fee	₹50,000 – ₹75,000 (depending on period)
Gap Insurance (Optional)	₹6,500 (one-time premium)
Security Deposit (Optional)	₹38,670 (3 × monthly payment)
Purchase Option	₹5,23,750 at lease end
Insurance Deductible	₹10,000 per claim
Maintenance Coverage	Included in monthly payment
Manufacturer Warranty	3 years / 100,000 km

KEY DATES TO REMEMBER

- **Agreement Date:** January 22, 2026
- **Lease Commencement:** February 10, 2026
- **First EMI Due:** March 15, 2026
- **Mid-Term Inspection:** ~August 10, 2027 (18 months)
- **Final EMI Due:** February 15, 2029
- **Lease Termination:** February 9, 2029
- **End-of-Lease Inspection:** January 31 – February 8, 2029
- **Purchase Option Decision:** By February 9, 2029

FOR OFFICIAL USE ONLY

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Prepared For: Dataset Training – AI LLM Car Lease Contract Review Assistant

Classification: Sample Lease Agreement (Not Binding)

Disclaimer: This is a comprehensive sample lease agreement prepared for dataset training purposes. All details are fictional sample data created for machine learning model training. Any resemblance to actual persons, companies, or real agreements is coincidental.